

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR ENGROSSED
HOUSE JOINT
RESOLUTION 1077

By: Caldwell (Trey), Kane,
Hill, Moore, Sterling,
Manger, and Pae of the
House

and

Paxton of the Senate

COMMITTEE SUBSTITUTE

A Joint Resolution directing the Secretary of State to refer to the people for their approval or rejection a proposed amendment to Section 40 of Article X of the Oklahoma Constitution, which relates to the Tobacco Settlement Endowment Trust Fund; creating the For Oklahoma's Future Trust Fund; providing fund principal; requiring the Board of Investors of the Tobacco Settlement Endowment Trust Fund to invest monies in the For Oklahoma's Future Trust Fund; prescribing investment procedures; authorizing the Legislature to appropriate certain portion of earnings for certain purposes; requiring other returns to be retained in the For Oklahoma's Future Trust Fund; clarifying constitutional language; providing ballot title; ordering special election on certain date; and directing filing.

BE IT RESOLVED BY THE HOUSE OF REPRESENTATIVES AND THE SENATE OF THE
2ND SESSION OF THE 60TH OKLAHOMA LEGISLATURE:

1 SECTION 1. The Secretary of State shall refer to the people for
2 their approval or rejection, as and in the manner provided by law,
3 the following proposed amendment to Section 40 of Article X of the
4 Oklahoma Constitution to read as follows:

5 Section 40. A. There is hereby created a trust fund to be
6 known as the "Tobacco Settlement Endowment Trust Fund". The trust
7 fund principal shall consist of the portion of monies which are
8 received by the State of Oklahoma on or after July 1, 2001, pursuant
9 to any settlement with or judgment against any tobacco company or
10 companies as provided by subsection B of this section, and any other
11 monies that may be appropriated or otherwise directed to the trust
12 fund by the Legislature.

13 B. 1. Deposits into the ~~trust fund~~ Tobacco Settlement
14 Endowment Trust Fund from monies which are received by the State of
15 Oklahoma pursuant to any settlement with or judgment against any
16 tobacco company or companies shall be based on the following
17 schedule:

Fiscal Year	Minimum Percentage of Payments
Ending June 30, 2002	50%
Ending June 30, 2003	55%
Ending June 30, 2004	60%
Ending June 30, 2005	65%
Ending June 30, 2006	70%

Ending June 30, 2007

75%

2. Deposits into the trust fund in subsequent fiscal years shall never be less than seventy-five percent (75%) of the payments.

3. The monies received by the State of Oklahoma pursuant to any settlement with or judgment against any tobacco company or companies after June 30, 2001, not deposited into the trust fund as provided in this section, shall be deposited into a special fund established by the Legislature solely for the purpose of receiving the payments; provided, the Legislature may, by law, direct a certain portion of such monies to the Office of the Attorney General. The special fund shall be subject to legislative appropriations.

C. There is hereby created the Board of Investors of the Tobacco Settlement Endowment Trust Fund. The Board of Investors shall have the duty of investing monies in the ~~trust fund~~ Tobacco Settlement Endowment Trust Fund, subject to restrictions and limitations provided by law for and in accordance with laws applicable to the investment of monies in state retirement funds.

The Board of Investors shall consist of five (5) members as follows:

1. The State Treasurer who shall be the chair;
2. An appointee of the Governor;
3. An appointee of the Speaker of the House of Representatives;
4. An appointee of the President Pro Tempore of the Senate; and
5. An appointee of the State Auditor and Inspector.

1 The initial appointees shall serve staggered terms of office as
2 provided for by law. Thereafter, appointees shall serve four-year
3 terms of office. No more than two appointees shall be appointed
4 from any single congressional district. All appointed members shall
5 have demonstrated expertise in public or private investment funds
6 management.

7 D. There is hereby created the Board of Directors of the
8 Tobacco Settlement Endowment Trust Fund. The Board of Directors
9 shall consist of seven (7) members, one appointed by each of the
10 following appointing authorities:

- 11 1. The Governor;
- 12 2. The President Pro Tempore of the Senate;
- 13 3. The Speaker of the House of Representatives;
- 14 4. The Attorney General;
- 15 5. The State Treasurer;
- 16 6. The State Auditor and Inspector; and
- 17 7. The ~~State~~ Superintendent of Public ~~instruction~~ Instruction.

18 The initial appointed members shall serve staggered terms of
19 office as provided for by law. Thereafter, the appointed members of
20 the Board of Directors shall serve seven-year terms of office. At
21 least one appointee shall be appointed from each congressional
22 district, and not more than two appointees shall be appointed from
23 any single congressional district. Not more than four appointees
24 shall be members of the same political party. An appointee shall

1 have been a member of the political party to which the appointee
2 belongs for at least one (1) year prior to the date of appointment.
3 Appointees shall have demonstrated expertise in public or private
4 health care or programs related to or for the benefit of children or
5 senior adults.

6 The Board of Directors shall meet at least one time each
7 calendar quarter.

8 E. Earnings from the ~~trust fund~~ Tobacco Settlement Endowment
9 Trust Fund, including, but not limited to, interest, dividends, and
10 realized capital gains from investments of the trust fund, shall be
11 expended as provided in subsection F of this section for the
12 following purposes:

13 1. Clinical and basic research and treatment efforts in
14 Oklahoma for the purpose of enhancing efforts to prevent and combat
15 cancer and other tobacco-related diseases;

16 2. Cost-effective tobacco prevention and cessation programs;

17 3. Programs other than those specified in paragraph 1 of this
18 subsection designed to maintain or improve the health of Oklahomans
19 or to enhance the provision of health care services to Oklahomans,
20 with particular emphasis on such programs for children;

21 4. Programs and services for the benefit of the children of
22 ~~Oklahoma~~ this state, with particular emphasis on common and higher
23 education, before- and after-school and pre-school programs,
24 substance abuse prevention and treatment programs and other programs

1 and services designed to improve the health and quality of life of
2 children;

3 5. Programs designed to enhance the health and well-being of
4 senior adults; and

5 6. Authorized administrative expenses of the Office of the
6 State Treasurer and the Board of Directors.

7 F. Each fiscal year, the Board of Directors may expend the
8 amount of earnings which actually accrued to the ~~trust fund~~ Tobacco
9 Settlement Endowment Trust Fund during the preceding fiscal year.

10 ~~Any~~ Except as provided for in subsection G of this section, any
11 amount not so expended shall remain in the trust fund. The Board
12 shall direct specific expenditures to be made for the purposes
13 specified in subsection E of this section.

14 G. 1. There is hereby created a trust fund to be known as the
15 "For Oklahoma's Future Trust Fund". The trust fund principal shall
16 consist of the portion of monies that is transferred by the Board of
17 Investors from the Tobacco Settlement Endowment Trust Fund pursuant
18 to this subsection and any other monies that may be appropriated or
19 otherwise directed to the For Oklahoma's Future Trust Fund by the
20 Legislature. On or after July 1, 2027, the Board of Investors shall
21 transfer One Billion Dollars (\$1,000,000,000.00) from the Tobacco
22 Settlement Endowment Trust Fund to the For Oklahoma's Future Trust
23 Fund.

2. The Board of Investors of the Tobacco Settlement Endowment Trust Fund shall have the duty of investing monies in the For Oklahoma's Future Trust Fund in the same manner as the Tobacco Settlement Endowment Trust Fund as required pursuant to subsection C of this section.

3. For fiscal year 2030 and each subsequent fiscal year, the Board of Investors shall report the amount of earnings that actually accrued to the For Oklahoma's Future Trust Fund during the preceding fiscal year that is available for appropriations. The Board of Investors shall provide the report of earnings available for appropriation no later than January 31, 2029, and each subsequent January 31. Up to eighty percent (80%) of the reported earnings may be appropriated by the Legislature for the purpose of improving health and educational outcomes in this state. The remaining twenty percent (20%) of earnings and any other earnings not appropriated by the Legislature shall be retained in the trust fund.

H. The Legislature may enact laws to further implement the provisions of this section.

SECTION 2. The Ballot Title for the proposed Constitutional amendment as set forth in SECTION 1 of this resolution shall be in the following form:

BALLOT TITLE

Legislative Referendum No. _____ State Question No. _____

THE GIST OF THE PROPOSITION IS AS FOLLOWS:

1 This measure amends Section 40 of Article 10 of the Oklahoma
2 Constitution, which relates to the Tobacco Settlement Endowment
3 Trust Fund. The measure creates the For Oklahoma's Future Trust
4 Fund and transfers One Billion Dollars (\$1,000,000,000.00) from
5 the Tobacco Settlement Endowment Trust Fund to the newly created
6 fund. Monies in the For Oklahoma's Future Trust Fund will be
7 invested by the Board of Investors of the Tobacco Settlement
8 Endowment Trust Fund in the same manner as the Tobacco
9 Settlement Endowment Trust Fund. Eighty percent (80%) of the
10 earnings accruing to the For Oklahoma's Future Trust Fund may be
11 appropriated by the Legislature to improve health and
12 educational outcomes in this state. All other earnings accruing
13 to the trust fund not appropriated by the Legislature shall be
14 retained in the trust fund.

15 SHALL THE PROPOSAL BE APPROVED?

16 FOR THE PROPOSAL — YES _____

17 AGAINST THE PROPOSAL — NO _____

18 SECTION 3. A special election is hereby ordered to be held
19 throughout the State of Oklahoma on the date of August 25, 2026, at
20 which time the proposed amendment to the Oklahoma Constitution, as
21 set forth in SECTION 1 of this resolution, shall be submitted to the
22 people of Oklahoma for their approval or rejection as and in the
23 manner provided by law.
24

1 SECTION 4. The Chief Clerk of the House of Representatives
2 shall, immediately after the passage of this resolution, prepare and
3 file one copy thereof, including the Ballot Title set forth in
4 SECTION 2 hereof, with the Secretary of State and one copy with the
5 Attorney General.

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